

West Bengal State Electricity Board

CIRCULAR No. : 62 Dated 11.09.57

Standing Orders

GENERAL INSTRUCTIONS FOR HANDLING CASH

Save as otherwise expressly provided in Accounting Regulations or in any departmental circular, the following instructions should be strictly observed by all Officers of the Board who are required to receive and handle cash in order to avoid any possible loss of money caused by fraud, negligence or otherwise.

- 1) Every officer receiving money on behalf of the Board shall maintain a Cash Book in the prescribed form.
- 2) All money transactions shall be entered in the Cash Book as soon they occur and attested by the Officer-in-charge in token of check.

Note : (i) Officers before initiating the entries of the Cash Book should compare the entries with the counterfoils of receipts, challans paid vouchers etc. for his full satisfaction.

(ii) If the officers find it difficult to scrutinise each and every transaction he may at his discretion leave over the work to the Accountant or any responsible clerk where there is no Accountant a percentage check not less than 20 percent being effected by him. All transactions checked by the Officer himself must be initialed by him as a token of the fact that he has exercised the check.

- 3) The Cash Book should be closed and balanced each day and completely checked. The Officer-in-charge should verify the totalling of the Cash Book or have this done by some responsible subordinate other than the writer of the Cash Book and initial it as correct.

Note : Where an Office contains two or more clerks, the cash and the accounts of that office should be in-charge of different officers.

- 4) At the end of each day, the Officer-in-charge should verify the closing balance of the Cash Book by actual counting and record a signed and date certificate in that effect in the Cash Book as below :—

"Certified that the Cash balance has been verified by actual counting and found correct."

The details of the Cash balance should be recorded in the last column provided in the Cash Book.

Note : At the time of inspection of outstations by the Divisional Engineers/Engineers-in-charge of a Circle whenever they may visit there (at least once a month), he should (1) count the cash and record a note in the Cash book showing the date of examination and the amount (in words) he found.

5) An eraser or overwriting of an entry once made in the Cash Book is strictly prohibited. The incorrect entry should be penned through and the correct entry inserted in red ink between the lines. The Officer-in-charge should initial every such correction and invariably date his initials.

6) Board's money in the custody of stations should be kept in strong treasure chests and secured by two locks of different patterns. The chest should invariably be embedded in a secured place in the office, declared to be fit for use as such by the Divisional Engineer. The Duplicate keys of the locks be sent to Treasury Officer/H.O. of the Board for safe custody. The original key of the one lock in use should be kept apart from the original key of the other lock, and in different person's custody. The chest should never be opened without both Custodians being present. Whenever a Custodian is attached to an Office the key of one of the locks of the chest will necessarily remain in his possession and the other to be kept in the custody of the Officer-in-charge or to any subordinate officer authorised by him in writing.

Note : At every inspection, the Divisional Engineer or any Subordinate Officer authorised by him shall report whether—

(i) he has found the locks & keys correct and deposited in accordance with these rules.

(ii) If any key in use is lost, the lock shall be opened with a duplicate key obtained from the Treasury Officer/H.O. of the Board and the lock and key shall then be withdrawn from use.

(iii) No local mechanic shall be allowed to repair lock of the Cash Chest and a new key shall in no case be made locally.

7) All money received by or on behalf of the Board shall be deposited into the Bank/Treasury/H.O./Dy. Hq. in full on the same day if possible, or not

later than the next working day after their receipt. In no circumstances shall the money so received be appropriated for meeting any kind of Board's expenditure nor otherwise kept apart from the Board's account.

Note: Money received at stations located at a considerable distance from treasury/sub-treasury may be deposited at the Divisional Office not less frequently than once a week or whenever the cash balance exceeds Rs. 100/-

- 8) All sums due to the Board on account of sale of energy, service connection charges, securities etc. shall be received by the office and official receipts on printed forms (Form No. A/C 1A) as provided shall be issued by such members of the staff as may be authorised.

Note: (i) The person authorised to sign receipts shall satisfy himself at the time of signing the receipt and initialling its counterfoil or daily cash statements, that the amount has been properly entered in the Cash Book.

(ii) All receipts must be written both in figures and words.

- 9) Receipt books in machine numbered A/C Form No. A/C 1A shall be used by all officers of the Board receiving money on behalf of the Board, unless any special form of receipt is prescribed by the Board to suit the convenience of any particular office. Receipt books should be obtained from the Head Office of the Board.

Note: Deposits of cash collections of the other supply stations direct to the Cashier of Divisional Offices on counter is strictly prohibited. The deposit shall pass through Officer-in-charge/Accountant and he should see that the money is entered in the Cash Book as soon as the same is handed over to Cashier under his initial on the entry. Receipt in printed form need not be issued for departmental receipts but a receipt signed both by the Officer-in-charge and Accountant may be issued in token of receiving payment on duplicate copy of the cash statement.

- 10) Receipt Books must be kept under lock and key in the personal custody of the Officer-in-charge. Before a receipt book is brought into use, the number of forms contained therein shall be counted and the result recorded in a conspicuous place in the book over the signature of the Officer-in-charge of the Book. Counterfoils of used receipt books shall also be kept in his personal custody.

Note : (i) Stock register of receipt books should be maintained.

- 11) No officer of the Board may issue duplicate or copies of receipts granted for money received on the allegation that the originals have been lost. If any necessity arises for such a document, a certificate may be given that on a specified day, a certain sum on a certain account was received from a certain person.
- 12) Every cashier, Store-keeper and other subordinate who is entrusted with the custody of cash or stores should be required to furnish security to guard against loss through dishonesty, negligence or disregard of rules the amount being regulated according to circumstances and to local conditions in each case under the sanction of the Chairman or such other officer as may be authorised by him and to execute a security bond setting forth the conditions under which Board will hold the security and may ultimately refund or appropriate it.

Note : Divisional Engineers/Officer-in-charge of Stations are required to report at once to H.O. the cases in contravention of this rule.

- 13) Any loss of Board's money, departmental revenue or receipts, stamps, stores or other property held by or on behalf of the Board caused by defalcation or otherwise which is discovered in office/supply station should be immediately reported by the Officer concerned to his immediate official superior as well as to H.O. even when such loss has been made good by the party responsible for it. Such reports must be submitted as soon as a suspicion arises that there has been a loss; they must not be delayed while detailed enquiries are made. When the matter has been fully investigated a further complete report should be submitted of the nature and extent of loss showing the errors or neglect of rules by which such loss was rendered possible and the prospects of effecting recovery.
- 14) The Officer receiving a report submitted to him Under item (13) must forward it to H.O. with such comments as may be considered necessary. He should also submit a detailed report after completing such departmental investigations as may be necessary or expedient on the causes or circumstances which led to the defalcation or loss, the steps taken to prevent its recurrence, and the disciplinary or any other action proposed as regards the person or persons responsible.
- 15) Every officer of the Board should realise fully and clearly that he will be held personally responsible for any loss sustained by Board through fraud.

or negligence on his part and that he will also be held personally responsible for any loss arising from fraud or negligence on the part of any other officer of the Board to the extent to which it may be shown that he contributed to the loss by his own action or negligence.

This has concurrence of the Financial Adviser.

Sd/- A. K. Saikar
CHIEF ACCOUNTS OFFICE
